IN THE NATIONAL COMPANY LAW TRIBUNAL, NEW DELHI
PRINCIPAL BENCH

ITEM No. 10
CA(CAA)-113(PB)/2018

IN THE MATTER OF:
Banga Pufoam Pvt. Ltd. and
Cosmos Industries Pvt. Ltd. .... Applicant/petitioner

Order under Section 230-232

Order delivered on 23.05.2019

Coram:
CHIEF JUSTICE (RTD.) M. M. KUMAR
HON'BLE PRESIDENT

SH. S. K. MOHAPATRA
HON'BLE MEMBER (TECHNICAL)

PRESENTS:
For the Applicant Mr. P.K. Mittal, Adv.
For the Respondent(s): -

ORDER

CA-980(PB)/2019

Application is allowed as prayed. Modified order be issued today itself.

CA-980(PB)/2019 stands disposed of.

Sd/-
(M.M.KUMAR)
PRESIDENT

Sd/-
(S. K. MOHAPATRA)
MEMBER (TECHNICAL)

23.05.2019
Ritu Sharma

THE NATIONAL COMPANY LAW TRIBUNAL
PRINCIPAL BENCH,
AT NEW DELHI

COMPANY PETITION NO. CA (CAA)-113 (PB) /2018

Under Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

In the matter of

Scheme of Amalgamation of

Banga Pufoam Private Limited

Transferor Company No.1

AND

Captain Vincom Private Limited

Transferor Company No.2

AND

Shrinathji Realtors Private Limited

Transferor Company No.3

WITH

Cosmos Industries Limited

Transferee Company

Judgment delivered on: 09.05.2019

Corrected on: 23.05.2019

CORAM:

CHIEF JUSTICE (Rtd.) M.M. KUMAR, Hon'ble President

Mr. S. K. MOHAPATRA, Hon'ble Member (T)

For Applicants: Mr. P.K. Mittal, Advocate

ORDER

S. K. Mohapatra, Member

1. This application has been jointly filed by the Applicant Companies under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, duly supported by separate affidavits of the Applicant Companies, for seeking appropriate orders/directions for dispensing with/convening the respective meetings of shareholders, secured creditors and unsecured creditors of the applicant companies, in connection with the proposed Scheme of Amalgamation as contemplated between the applicant companies. The said Scheme of Amalgamation (hereinafter referred to as the "Scheme") has been placed on record along with the joint application.

2. It is represented that the registered offices of all the applicant companies are situated in New Delhi and therefore the subject matter of this joint application falls within the Jurisdiction of this Bench.

3. M/s Banga Pufoam Private Limited (Transferor Company no.1) was incorporated on 07.02.1996 as a private company limited by shares. The present Authorized Share Capital of the Transferor Company is Rs. 30,00,000/- divided into 3,00,000 Equity Shares of Rs. 10/- each. The present Issued, Subscribed and paid-up Share Capital of the Company is Rs. 28,70,000/- divided into 2,87,000 Equity Shares of Rs. 10/- each. The registered office of the Transferor Company no.1 is situated at 202/47, Thapar Areade, Kalu Sarai, Hauz Khas, New Delhi-110016.

4. It is submitted that the transferor Company no.1 has six Equity Shareholders and all the equity shareholders have given their consent affidavits to the Scheme constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record. It is further represented that the transferor company no.1 has neither any

secured creditor nor any unsecured creditor. The certificates of chartered accountant in respect of creditors have also been placed on record. As the company has no secured creditors and no unsecured creditors, the requirement of convening of their respective meetings does not arise. In relation to the shareholders, the transferor company no.1, seeks dispensation from convening and holding of their meeting on the ground that all the shareholders have given consent affidavits in favour of the Scheme.

5. M/s Captain Vincom Private Limited (Transferor Company no.2) was incorporated on 16.06.2008 as a private company limited by shares. The present Authorized Share Capital of the Transferor Company is Rs. 30,00,000/- divided into 3,00,000 Equity Shares of Rs. 10/- each. The present Issued, Subscribed and paid-up Share Capital of the Company is Rs. 29,00,000/- divided into 2,90,000 Equity Shares of Rs. 10/- each. The registered office of the Transferor Company no. 2 is situated at 10, Green Avenue, Vasant Kunj, New Delhi-110070.

6. It is submitted that the transferor Company no.2 has six Equity Shareholders and all the equity shareholders have given their consent affidavits to the Scheme constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record. It is further represented that the transferor company no.2 has neither any secured creditor nor any unsecured creditor. The certificates of chartered accountant in respect of creditors have also been placed on record. As the company has no secured creditors and no unsecured creditors, the requirement of convening of their respective meetings does not arise. In relation to the shareholders, the transferor company no.2, seeks dispensation from convening and holding of their meeting on the ground that all the shareholders have given consent affidavits in favour of the Scheme.

7. M/s Shrinathji Realtors Private Limited (Transferor Company no.3) was incorporated on 08.12.2005 as a private company limited by shares. The present Authorized Share Capital of the Transferor Company no.3 is Rs. 3,00,000/- divided into 30,000 Equity Shares of Rs. 10/- each. The

present Issued, Subscribed and paid-up Share Capital of the Company is Rs. 2,98,540/- divided into 29,854 Equity Shares of Rs. 10/- each. The registered office of the Transferor Company no. 3 is situated at 24, Adchini, Aurobindo New Delhi-110016.

8. It is submitted that the transferor Company no.3 has two Equity Shareholders and both the equity shareholders have given their consent affidavits to the Scheme constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record. It is further represented that the transferor company no.3 has neither any secured creditor nor any unsecured creditor. The certificates of chartered accountant in respect of creditors have also been placed on record. As the company has no secured creditors and no unsecured creditors, the requirement of convening of their respective meetings does not arise. In relation to the shareholders, the transferor company no.3 seeks dispensation from convening and holding of their meeting on the ground that all the shareholders have given consent affidavits in favour of the Scheme.

9. M/s Cosmos Industries Limited (Transferee Company) was incorporated on 02.11.1998 as a limited company. The registered office of the Company is situated at 202, Thapar Areade, Kalu Sarai, Hauz Khas, New Delhi-110016. The Authorized Share Capital of the company is Rs. 20,00,00,000/- divided in to 2,00,00,000 equity shares of Rs. 10/- each. The Issued, subscribed and paid up share Capital of the Company is Rs. 16,39,60,000/- divided into 1,63,96,000 Equity Shares of Rs. 10/-each.

10. It is submitted that the transferee Company has 20 Equity Shareholders and all the equity shareholders have given their consent affidavits to the Scheme constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record. Additionally, the transferee company has 2 secured creditors and 69 unsecured creditors. 58 unsecured creditors out of 69 unsecured creditors of the transferee company have given their consent affidavits in favour of the Scheme constituting 95% in value. In respect of equity shareholders and unsecured creditors, the transferee company seeks

dispensation from convening and holding of their respective meetings on the ground that all the shareholders and unsecured creditors holding 95% in value of the unsecured debt of the company have given consent affidavits in favour of the Scheme. In respect of secured creditors prayer has been made for issuance of directions for convening and holding of meeting of secured creditors of the transferee company in order to obtain their approval in favour of the Scheme.

11. It is pertinent to state here that under Section 230 (9) of the Companies Act, 2013 the requirement of convening of meeting of the creditors can be dispensed with only if creditors having atleast 90% in value have given their consent affidavits in favour of the Scheme. In the present case since unsecured creditors with more than 90% in value have given their consent affidavits in favour of the Scheme in compliance of sub-section 9 of Section 230 of the Companies Act, 2013; the requirement of convening the meeting of unsecured creditors can be dispensed with.

12. We have perused the joint applications and the connected documents / papers filed by the applicants including the Scheme of Amalgamation as contemplated between the Applicant companies.

13. It is seen that the board of directors of all the applicant companies vide meetings held on 16.03.2018 have unanimously approved the proposed Scheme of Amalgamation. Copies of the respective Board Resolutions passed thereat have been placed on record by the applicant companies.

14. All the applicants have filed their respective Memorandum and Articles of Associations. The applicant companies have also filed their latest audited financial statements for the year ending 31.03.2017 and provisional financial statements till 31.12.2017.

15. It is submitted that the proposed merger is sought to be made under the provisions of Section 230 to 232 of the Companies Act, 2013 and the same if sanctioned by this Tribunal the appointed date as provided in the Scheme shall be 31.12.2017.

16. All the applicant companies have submitted that no proceedings for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under the provisions of the Companies Act, 1956 is pending against any of the applicant companies.

17. Certificates of respective statutory auditors of all the applicant companies have been placed on record confirming that the accounting treatment in the scheme is in conformity with Section 133 of the Companies Act, 2013.

18. Further, it has been stated in the application that the Scheme will be beneficial to all the applicant companies and their respective shareholders, employees, creditors and other stake holders.

19. In the facts and taking into consideration the application jointly filed by the Applicant Companies the following directions are issued: -

A. In relation to the Transferor Company no.1 : -

i. The meeting of Equity Shareholders is dispensed with as there are only six equity shareholders in the company and all of their

consent affidavits in favour of the Scheme have been placed on record.

ii. *The meeting of secured creditors is also dispensed with because there is no secured creditor in the company and therefore, the requirement of convening meeting of secured creditors does not arise.*

iii. *The meeting of unsecured creditors is also dispensed with because there is no unsecured creditor in the company and therefore, the requirement of convening meeting of unsecured creditors does not arise.*

B. In relation to the Transferor Company no.2 : -

iv. *The meeting of Equity Shareholders is dispensed with as there are only six equity shareholders in the company and all of their consent affidavits in favour of the Scheme have been placed on record.*

v. *The meeting of secured creditors is also dispensed with because there is no secured creditor in the company and therefore, the requirement of convening meeting of secured creditors does not arise.*

vi. *The meeting of unsecured creditors is also dispensed with because there is no unsecured creditor in the company and therefore, the requirement of convening meeting of unsecured creditors does not arise.*

C. In relation to the Transferor Company no.3 : -

vii. *The meeting of Equity Shareholders is dispensed with as there are only two equity shareholders in the company and all of their consent affidavits in favour of the Scheme have been placed on record.*

viii. *The meeting of secured creditors is also dispensed with because there is no secured creditor in the company and therefore, the*

requirement of convening meeting of secured creditors does not arise.

ix. *The meeting of unsecured creditors is also dispensed with because there is no unsecured creditor in the company and therefore, the requirement of convening meeting of unsecured creditors does not arise.*

D. In relation to the Transferee Company:-

x. *The meeting of Equity Shareholders is dispensed with as there are only two equity shareholders in the company and all of their consent affidavits in favour of the Scheme have been placed on record.*

xi. *The meeting of the secured creditors of the transferee company is directed to be held at the registered office of the transferee company, on 28.06.2019 at 02:00 P.M. The quorum of the meeting shall be 2 in number or 75% in value.*

xii. The meeting of unsecured creditors is dispensed with because there are 69 unsecured creditors in the company out of which 58 unsecured creditors constituting 95% in value have given their consent affidavits in favour of the Scheme.

E. Mr. Gautam Mukherjee, Advocate (Mobile No. 9903954440) is appointed as the Chairperson and Mr. Jaideep Tondon, Advocate (Mobile No. 9810070237) is appointed as the Alternate Chairperson and Mr. Mohit Singhal, Company Secretary (Mobile No. 9650066558) is appointed as Scrutinizer for the aforesaid meeting in terms of direction issued herein.

F. In case the quorum as noted above for the aforesaid meeting are not present at the meeting, then the meeting shall be adjourned by half an hour, and thereafter the persons present and voting shall be deemed to constitute the quorum. For the purpose

of computing the quorum the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting, is filed with the respective registered offices of the applicant companies at least 48 hours before the meeting. The Chairperson and Alternate Chairperson appointed herein along with Scrutinizer shall ensure that the proxy registers are properly maintained.

G. The fee of the Chairperson for the aforesaid meeting shall be Rs. 1,50,000/-, the fee of the Alternate Chairperson shall be Rs. 1,00,000/- and the fee of the Scrutinizer shall be Rs. 1,00,000/- in addition to meeting their incidental expenses.

H. The Chairperson will file its report in respect of the meeting within a week from the date of holding of the above meeting.

I. That the applicant companies shall publish advertisement with a gap of at least 30 days before the aforesaid meeting, indicating the day, date and

the place and time as aforesaid, to be published in Delhi editions of 'Business Standard' English edition and "Jansatta" Hindi edition stating that the copies of the Scheme, the explanatory statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the respective registered offices of the applicant Transferee Company.

J. Voting shall be allowed on the proposed Scheme by voting in person, by proxy, through postal ballot or through electronic means as may be applicable for the meeting of secured creditors of the applicant Transferee Company in terms of the provisions of the Companies Act, 2013 and in terms of Rules framed there under.

K. The companies shall individually send notice to Central Government through Regional Director (Northern Region), Ministry of Corporate Affairs, the Income Tax Authorities, Registrar of Companies National Capital Territory of Delhi and Haryana,

Official Liquidator along with copy of relevant documents and disclosures as required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

L. The Applicant Companies shall further furnish copy of the Scheme free of charge within 1 day of any requisition for the Scheme made by every secured creditors of the Applicant Transferee Company entitled to attend the meeting of secured creditors as mentioned above.

M. The authorized representative of all the Applicant Companies shall furnish an affidavit of service of notice of the meeting and publication of advertisement and compliance of all directions contained herein at least a week before the proposed meeting.

N. All the aforesaid directions are to be complied with by the applicant companies strictly in accordance with the applicable law including forms

and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as in terms of the provisions of the Companies Act, 2013.

The application stands allowed in the aforesaid terms.

Let the copy of the order be served to the parties.

Sd/-

2019

(M.M. KUMAR)

PRESIDENT

Sd/-

(S. K. MOHAPATRA)

MEMBER (T)

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